Deal Risk Report

This deal has about a 28% chance of losing money over five years, and its result depends most on home value growth.

Five-year results from 10,000 simulations

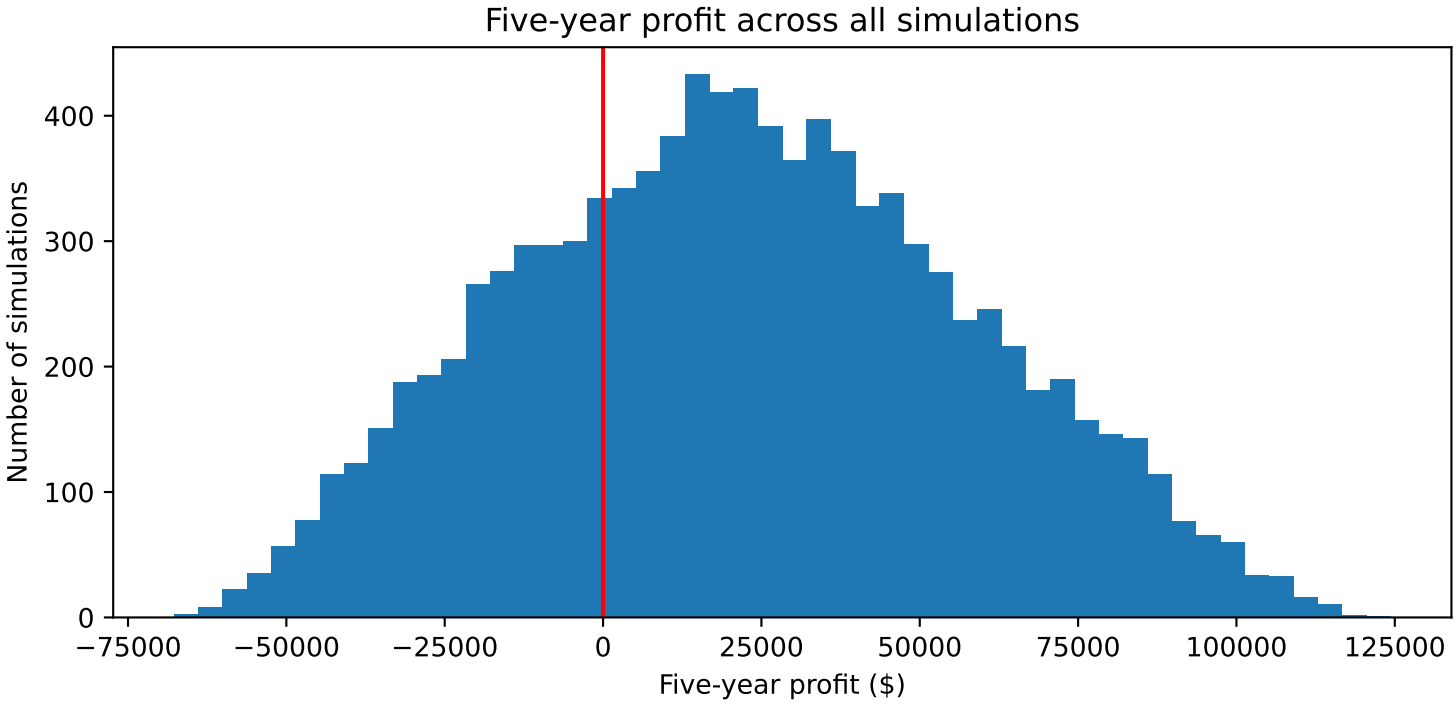
Chance of a five-year loss: 28%

Median profit: $21,777

Bad case (5th percentile): -$35,374

Good case (95th percentile): $83,508

Chance of negative year 1 cash flow: 96%



Biggest risks (profit swing from low to high)

Home value growth: $172,188

Rent: $24,281

Repairs: $15,290

Assumptions

Price $300,000, 20% down, 7.0% loan for 30 years

Rent $2,400/month, property tax $3,234/year, insurance $1,800/year

Rent, tax, and insurance grow 3% a year; sold after 5 years with 6% selling costs

Estimate for educational purposes. Not an appraisal or investment advice.